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The Great M&A Synergy Illusion

Why Value Creation looks easier in the investment case than after closing.

Why M&A excites leadership teams

Organic growth is at the heart of every successful business. Strong leaders build and scale businesses sustainably by continuing to invest in products, customers, capabilities and people.

But organic growth takes time. Acquisitions can offer something particularly attractive: the possibility of accelerating growth, entering new markets, acquiring new products or technologies, reaching new customer segments and strengthening the company's position against competitors.

That prospect naturally creates excitement.

In several businesses in which I worked, we maintained what we called a “gameboard”: a structured overview of companies that could potentially become acquisition targets. It typically began with a broad list of competing or complementary businesses, including their size, market position, customer base and potential strategic value.

Over time, relationships were established and interest was carefully explored. Some companies showed little willingness to engage and disappeared from the list. Others appeared more receptive, leading to greater involvement from senior management and more substantive discussions.

Opportunities also arrived through investment banks. They would approach us with a potential target, initially providing a short teaser. If there was sufficient interest, confidentiality agreements were signed and more detailed information became available.

At that point, the strategic logic, valuation and potential synergies could be explored more seriously.

A compelling strategic opportunity

In one of the businesses I led, we had the opportunity to acquire a company that could help us scale rapidly across Europe while adding capabilities that complemented our existing strengths.

We were a highly competitive producer, manufacturing large volumes for major customers. However, we were primarily perceived as a reliable and efficient supplier—or, less flatteringly, as a toll manufacturer.

When customers needed production capacity, they came to us. When they were looking for novel ideas and product innovation, they often went elsewhere.

Changing that perception was an important part of our strategy. We wanted to preserve our competitive manufacturing model while building a culture of innovation. New members joined the leadership team with a clear mandate to strengthen our innovation capabilities and make us more relevant to customers beyond price, quality and production capacity.

The acquisition target appeared to offer exactly what we needed. It was recognized in the industry as an innovator, with distinctive products and capabilities that we did not possess. Combining its innovation strengths with our manufacturing scale and customer network seemed to offer a powerful strategic fit.

The acquisition could become the tipping point: moving us from being seen mainly as an efficient producer to being recognized as both a manufacturing partner and a source of new ideas.

The strategic logic appeared compelling—and the future looked bright.

When the investment case meets reality

As part of the acquisition process, we identified a range of potential synergies. A particularly important assumption was that the acquired company's innovative products could be introduced successfully across our much larger customer network.

On paper, the logic was straightforward:

- They had attractive products and innovation capabilities.
- We had production scale and access to major customers.
- Combining the two should generate accelerated growth.

But after closing, the simplicity of the investment case encountered the complexity of integration.

We had underestimated the cultural differences between the two organizations. The acquired company's approach to innovation was more entrepreneurial and often based on experimentation and trial and error. Not every development succeeded, and the rate at which new ideas became commercially viable was lower than we had expected.

We had also overestimated the speed of customer adoption. Access to customers did not automatically translate into customer acceptance. New products still had to demonstrate their relevance, performance and commercial value. Trials took time, priorities changed and customers moved at their own pace—not according to the timelines in our acquisition model.

Meanwhile, the organization had to integrate systems, align processes, clarify responsibilities and consolidate talent, while continuing to run the existing business. Leadership attention was divided between delivering current results and building the promised future.

None of these challenges made the acquisition strategically wrong. But together, they delayed the realization of its value.

Synergies are not imaginary—capturing them is less obvious

The integration required more time, leadership attention and hard work than originally anticipated. Cultures had to be aligned, systems synchronized, capabilities combined and difficult talent decisions made.

Ultimately, the acquisition worked. The strategic rationale proved valid, and the business has since grown at rates that exceeded our original expectations.

But the financial benefits arrived later than anticipated because we had underestimated the time and organizational effort required to capture them.

This led to a broader lesson:

The synergies themselves were not imaginary—but our ability to capture them as quickly and easily as the investment case suggested had been significantly overestimated.

That distinction matters.

Synergies are usually calculated as though they become available shortly after the transaction closes. But they are not assets sitting inside the acquired company waiting to be collected. They are future outcomes that still have to be created.

Revenue synergies depend on customers changing their behaviour. Cost synergies may depend on difficult organizational decisions. Innovation synergies require different teams to collaborate effectively. Capability synergies only emerge when knowledge is shared and adopted across the combined business.

And all of this must happen while employees are dealing with uncertainty, leaders are managing the integration and both organizations are expected to maintain their day-to-day performance.

The real investment case begins after closing

An acquisition can create significant value. But identifying potential synergies is not the same as possessing the organizational capacity to deliver them.

Perhaps acquisition models should therefore give as much attention to the difficulty, timing and ownership of synergy realization as they give to calculating its financial value.

Before approving the next compelling acquisition case, leaders might ask:

- Are our synergies based on evidence—or mainly on strategic logic and optimism?
- What changes in customer behaviour are we assuming, and how long could those changes realistically take?
- Have we adequately assessed the cultural and organizational differences between the two businesses?
- Who will be personally accountable for delivering each major synergy?
- Does the organization have the leadership capacity to integrate the acquisition while continuing to run the existing business?
- And how attractive does the investment remain if value creation takes twice as long as planned?

The most important question may not be whether the synergies exist. It may be whether we truly understand what it will take to capture them.